nineteenth centuries, combined with the development of modern manufacturing industries in Britain led to the virtual closing of European markets to Indian manufacturers after 1820. The gradual disappearance of Indian rulers and their courts who were the main customers of the handicrafts produced also gave a big blow to these industries. "For instance, the Indian states were completely dependent on the British in the production of military weapons." The British purchased all their military and other government stores in Britain. Moreover, Indian rulers and nobles were replaced as the ruling class by British officials and military officers who patronised their own home-products almost exclusively. This increased the cost of handicrafts and reduced their capacity to compete with foreign goods.

The ruin of Indian handicrafts was reflected in the ruin of the towns and cities which were famous for their manufacture. Cities which had withstood the ravages of war and plunder failed to survive British conquest. Dhaka, Surat, Murshidabad and many other populous and flourishing industrial centres were depopulated and laid waste. By the end of the nineteenth century, urban population formed barely 10 per cent of the total population. William Bentinck, the Governor-General, reported in 1834–5: "The misery hardly finds a parallel in the history of commerce. The bones of the cotton-weavers are bleaching the plains of India."

The tragedy was heightened by the fact that the decay of the traditional industries was not accompanied by the growth of modern machine industries as was the case in Britain and western Europe. Consequently, the ruined handicraftsmen and artisans failed to find alternative employment. The only choice open to them was to crowd into agriculture. Moreover, the British rule also upset the balance of economic life in the villages. The gradual destruction of rural crafts broke up the union between agriculture and domestic industry in the countryside and thus contributed to the destruction of the self-sufficient rural economy. On the one hand, millions of peasants, who had supplemented their income by part-time spinning and weaving, now had to rely overwhelmingly on cultivation; on the other, millions of rural artisans lost their traditional livelihood and became agricultural